

Jumpstart Our Business Startups (JOBS) Act was signed into law on April 5, 2012.⁹ It was an acknowledgment of the potential of crowdfunding to provide alternative financing methods for startups. Additionally, the act sought to provide equity-based opportunities to a wide range of investors, including nonaccredited ones.¹⁰

CROWDFUNDING PORTALS FOR ALL INVESTORS

The ability of the JOBS Act to open the door to venture capital for nonaccredited investors, including crowdfunding and ICO investments, has been a great step forward in increasing the number of people who may be included in these opportunities. One of the provisions of the JOBS Act will be the implementation of portals—online platforms on which investors can find investment opportunities. These portals must be approved by both the SEC and FINRA.¹¹ Although there aren't currently many such portals (Wefunder is one), over time, the number will increase and provide even more opportunities for investors and entrepreneurs.¹² Additionally, we expect that portals will soon be set up by broker-dealers to provide a combination of investment opportunities with advice and access.

The JOBS Act gave nonaccredited investors their first opportunity in 80 years¹³ to invest privately in startups and receive equity compensation. Although the act was signed into law in 2012, Title III of the act, which allows for